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THE DAILY RECKONING

LONDON, ENGLAND

THURSDAY, 7 JUNE 2001

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*** Mr. Market takes a breather... But from what? Bull market? Or bear market rally? Does it matter?

*** Pound drops to 15 year low against dollar - thank God...

*** Japan still world's largest creditor... bad caviar, sad burgundy! and more...

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*** What to make of it all? "The evidence is growing that the bear market is over," writes my friend Mark Skousen. "It's time to buy again." The Wall Street Journal reports that people are buying equity mutual funds again. Investors

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are overwhelmingly bullish. And even Amazon said it would make money - next year, of course!

*** But a look at yesterday's headlines makes one wonder. "Productivity drop biggest in 8 years," says the Milwaukee paper. "Retail sales rise 2%, less than expected," reports the LA Times. "Raft of data show weak U.S. economy," declares a Reuters story. And with admirably able alliteration, USA Today says "Service sector sinks for 2nd straight month."

*** Is it really a new bull market...or just a bear market rally - a trap for unwary investors? Or does it matter? Here at the Daily Reckoning we aim to buy low and sell high. We look for bargains. The S&P today, selling for nearly 28 times earnings - twice its normal level, is no bargain.

*** Ending a four-day winning streak, the Dow lost 105 points and the Nasdaq yielded 16 points.

*** Despite a decade-long economic malaise, Japan remains the world's largest creditor nation for the 10th consecutive year, its Ministry of Finance reported.

*** Meanwhile, Japan's outstanding liabilities - i.e. money it owes to someone else - declined 4.6% last year. In all, an impressive performance for an economy that most consider to be struggling.

*** Mysteriously, the currency of the world's largest debtor nation - the USA - remains the envy of the currency world. So certain is its strength that investors seem fearful of holding anything else.

*** Distressing news is pouring in from the culinary world... literally. It seems that some high-end French Burgundy wines are no better than screw-cap jug wines. In fact, the jug wines may be better. Mon Dieu! Have the French lost their touch?

*** Not exactly. USA Today reports that certain unscrupulous wine purveyors "mixed cheap swill with generic wine and poured it into bottles bearing the labels of top-quality vintages. In some cases, old wine set to be made

into vinegar was mixed with other lesser-quality vintages and passed off as medium-quality wine. To people in Beaune, Burgundy's wine capital, these alleged acts bordered on heresy."

*** Why such behavior should be considered heresy might mystify a few Wall Street types. On Wall Street, packaging low-quality "swill" and selling it as something of great value is called launching an IPO. The practice is legal and it happens every day.

*** In other distressing culinary news, we may be on the verge of an international caviar crisis! 33 tons of the world's finest caviar from the Caspian Sea sits in cold storage somewhere in Kazakstan, prevented from leaving the country by a United Nations body that believes caviar-producing sturgeon are being recklessly exploited.

*** Without a trustworthy Burgundy to drink and no fresh Beluga caviar to eat, how does one celebrate occasional joys like a rising stock market? Since stocks fell yesterday, we may hold off answering this vexing question, at least until tomorrow. In the meantime, a very cold beer and a big bag of potato chips is not a bad alternative.

*** "With prices back at $30 a barrel," writes John Myers "...and North American oil reserves standing at 60% of where they stood in 1970, everyone is beginning to acknowledge the crisis in energy. What they don't know... the same is happening with world supplies of iron, nickel, aluminum, copper, chromium, lumber - even our soil. In the end they will run down just like petroleum. Petroleum is just the first and most noticeable." (see: These ARE The Good Old Days
http://www.dailyreckoning.com/body_headline.cfm?id=1205)

*** Last Tuesday's Daily Reckoning highlighted J.P. Morgan Chase's vulnerability "to a weakening economy and struggling capital markets." Citing a story that appeared on grantsinvestor.com, we noted that the firm's investment banking revenues fell 22% year-over-year in the first-quarter.

*** Yesterday, J.P. Morgan admitted publicly that it is experiencing tough times. The company warned that its

venture capital operation faces large losses and its investment banking operations will yield disappointing results this year. Hmmm.I guess the folks at J.P. Morgan read the Daily Reckoning.

Eric Fry

And from Bill... in London...

*** The Times reports, barely concealing its contempt for American juries, that a California man who smoked two packs of Marlboros a day for 40 years has won a $3 billion judgment from Philip Morris. But the man - who says he didn't realize until the 1990s that smoking can be dangerous to your health - is either a liar or an imbecile. PM did the world a favor. The jury gave the award to the wrong party.

*** Also on page one of the Times, we find that "tea cosies are posing a growing threat to human health; the toll of accidents caused by humble teapot-warmers almost doubled in a single year." Mark Henderson, Science Correspondent for the Times, reports that "Britons also need to be much more